

FEDERAL MARITIME COMMISSION

MCS INDUSTRIES, INC.,

Complainant,

v.

MEDITERRANEAN SHIPPING COMPANY
S.A.,

Respondent.

Docket No. 21-05

Served: January 3, 2024

BY THE COMMISSION: Daniel B. MAFFEI, *Chairman*,
Rebecca F. DYE, Louis E. SOLA, Carl W. BENTZEL, Max
VEKICH, *Commissioners*.

Order Partially Affirming Initial Decision on Default and Remanding for Further Proceedings

This case is before the Commission (FMC) on Exceptions to an Initial Decision on Default (Decision) of the Administrative Law Judge (ALJ) dated January 13, 2023. The Decision imposed a default on Respondent MSC Mediterranean Shipping Company S.A. (Mediterranean), a vessel-operating common carrier, for its failure to comply with multiple discovery orders in a case filed by

Complainant MCS Industries, Inc. (MCS), a shipper. The Decision also ordered reparations.

As to liability, we deny the Exceptions and affirm the ALJ's Decision. The ALJ permissibly found that Mediterranean's conduct merited default as a discovery sanction, whether the Decision is reviewed de novo or under an abuse of discretion standard.

As a threshold matter, the Decision properly determined that the FMC has jurisdiction over MCS's claims. That is so even though the parties agreed in service contracts at issue here to resolve disputes by arbitration, because Shipping Act claims like those made by MCS are distinct and can still be pursued in an FMC adjudication.

In addition, the ALJ's decision to impose default as a discovery sanction was within her discretion, and in any event it was well-reasoned and well-supported by the record. First, Mediterranean has failed to comply with multiple orders, dating back to December 2021, that it provide substantial outstanding discovery. The ALJ properly rejected Mediterranean's repeated claims that Swiss law bars it from providing that discovery under FMC procedures. In addition, the ALJ properly determined that all three factors set out in relevant D.C. Circuit precedent for the evaluation of default as a discovery sanction are present here. The ALJ found that Mediterranean's conduct had prejudiced MCS in this case, that it had prejudiced the FMC's adjudicatory system by creating burdens and delays, and that its willfulness presented a need to deter potential future misconduct. Finally, the Decision shows that lesser sanctions would not be adequate to address this situation.

However, we remand to the ALJ for further consideration of two issues. First, we remand for consideration of whether the sanctions available under 46 U.S.C. § 41302(d) for delay in the issuance of final FMC decisions are a potential additional basis for the imposition of default in this proceeding. Second, as to the appropriate remedy, we remand for the submission of evidence that is sufficient to support the reparations MCS seeks.

I. BACKGROUND

A. Procedural history

MCS, a U.S. shipper, initiated this case with a Complaint dated July 28, 2021, alleging that Mediterranean and COSCO Shipping Lines Co., Ltd. (COSCO), who are vessel-operating common carriers, had violated 46 U.S.C. § 41102(c) and several provisions of 46 U.S.C. § 41104(a) of the Shipping Act of 1984 in connection with their provision of ocean carriage services. Verified Complaint; Initial Decision on Default (Decision) at 2.

On September 23, 2021, the ALJ issued a Scheduling Order that set the close of discovery for January 27, 2022. On that same day, the ALJ approved a proposed settlement agreement between MCS and COSCO. Initial Decision Approving Confidential Settlement Agreement.

On November 22, 2021, MCS filed a motion to compel discovery, and on December 8, the ALJ granted MCS's motion to compel. Order Granting Motion to Compel (First Order). This extensive Order required Mediterranean to produce additional information in connection with 14 topics, encompassing responses to document requests and interrogatories. First Order; Decision at 4-8. The ALJ rejected Mediterranean's general objections that sought to limit its discovery obligations to what it saw as "core issues" and to put the burden on MCS to justify its discovery. Decision at 4-5. She also ordered Mediterranean to provide further information about interactions related to MCS as well as conduct beyond the specific transpacific bookings at issue. *Id.* at 5-8.

Although Mediterranean did not administratively appeal the First Order issued in December 2021, it also did not comply with the Order. Instead, later in December Mediterranean moved to dismiss the complaint, and MCS moved to file an amended

complaint. FMC Docket No. 21-05, Docs. 31-34, 36. On February 4, 2022, the ALJ denied Mediterranean's motion to dismiss and granted MCS's motion to amend the complaint. Order on Motion to Amend Complaint and Motion to Dismiss (MTD Order).

In late February 2022, Mediterranean filed a notice that raised issues related to the production of documents in Switzerland, and the parties filed a joint status report; then, on March 4, the ALJ issued an order directing the parties to submit further detail as to what procedure they were requesting for the production of that evidence. Order on Proposed Revised Schedule and Discovery Notice. On April 4, the parties filed a joint status report requesting that a letter be issued under Hague Evidence Convention procedures, and on May 4, the ALJ granted that request. Order Granting Request for Letter of Request Under Hague Convention.

On July 8, 2022, MCS filed a notice attaching the response from a Swiss court that rejected the Request as outside the scope of the Hague Convention because the relevant FMC proceeding is an administrative one. Notice of Decision on Letter of Request.

On July 29, 2022, the ALJ issued an Order Requiring Production of Discovery (Second Order). Decision at 9-12. The Second Order rejected Mediterranean's request that a new request be submitted to the Swiss Federal Office of Justice, explaining that the Swiss court had determined that its involvement was not needed. *Id.* at 9. Relying on federal court precedent, the ALJ noted that a party seeking to use Hague Convention procedures must show they are necessary and that foreign law actually bars the discovery at issue, but here Mediterranean had failed to show that the provision of the Swiss criminal code it cited has that effect. The ALJ cited recent federal court decisions that had rejected similar claims based on the same Swiss provision because there was no threat of criminal sanction in the U.S. cases, and she noted that the same was true as to the sanctions available here under 46 C.F.R. § 502.150(b). *Id.* at 9-11. Thus, the ALJ ordered Mediterranean to produce the outstanding discovery by August 29, 2022. Second Order at 4.

Although Mediterranean did not administratively appeal the Second Order issued in July 2022, it also did not comply with the Order. Instead, it proceeded to seek advice from the Swiss government, requesting an extension of time to facilitate that, and on September 6, 2022, it submitted a Notice of Advice of the Swiss Federal Office of Justice, attaching a communication from that Office. In essence, Mediterranean argued that the Swiss Federal Office had indicated that a new request for judicial assistance could be submitted despite the earlier ruling of the Swiss court, and it further argued that the Office's response supported Mediterranean's insistence that Hague Convention procedures apply. Notice of Advice at 1-2.

On September 8, 2022, the ALJ issued an Order Denying Respondent's Motion for an Extension of Time and Order to Show Cause (Third Order). Decision at 12-14. The Third Order directed Mediterranean to "either provide the required discovery or show cause why default judgment should not be entered against it." *Id.* at 12. The ALJ rejected Mediterranean's continued arguments that Swiss law barred it from producing the outstanding discovery, noting that the "advice" from the Swiss Federal Office of Justice did not compel the result Mediterranean sought, and that Mediterranean was seeking to relitigate an issue that had already been decided. *Id.* at 12-13. Accordingly, the ALJ directed Mediterranean to show cause why default should not be entered under 46 C.F.R. 502.150(b), although the Order specifically noted that if Mediterranean produced the required discovery, the issue would be moot and the case could proceed. *Id.* at 13-14.

Mediterranean did not provide discovery in response to the Third Order, but the parties did file responses. Mediterranean argued that further consultation with Swiss authorities was the proper course because it would otherwise risk criminal sanctions, that default was a drastic remedy not called for where it had a good faith belief in that risk, that the consultation procedure in 46 U.S.C. § 41108(c)(2) had not been used, and that in any event the agency

lacked jurisdiction over the matter. Respondent Mediterranean Shipping Company S.A.'s Response to Order to Show Cause, Sept. 22, 2022, at 1-4; Reply with Respect to Order to Show Cause, Oct. 14, 2022. MCS argued that Mediterranean had violated multiple FMC discovery orders and that a default sanction was justified under the standards applicable to the analogous Federal Rule of Civil Procedure 37(b)(2). Complainant MCS's Response to Order to Show Cause, Oct. 6, 2022, at 1-2.

While a decision on the Order to Show Cause remained pending, Mediterranean filed further notices attaching materials from the Swiss government that it insisted showed Hague Convention procedures were required. Notice of Determination of the Swiss Federal Office of Justice, Oct. 18, 2022; Notice of Issuance of Formal Decision of the Swiss Federal Office of Justice and Police That Hague Evidence Convention Procedures Apply to This Proceeding and Must Be Used, Nov. 8, 2022. MCS argued that Mediterranean was improperly attempting to relitigate the issues and that default remained the proper remedy. Response Letter of Complainant, Oct. 28, 2022.

On January 13, 2023, the ALJ issued the Initial Decision on Default. Mediterranean timely filed Exceptions on February 6, and MCS filed its Response on February 28.

B. The Initial Decision on Default

The ALJ's Initial Decision on Default noted that 46 C.F.R. § 502.150(b) describes the remedies available where a party fails to comply with an FMC discovery order, and that section 502.150(b)(3) specifically authorizes the ALJ to issue "a decision by default against the disobedient party." Decision at 14. The ALJ pointed out that the Commission had previously approved dismissals of cases where a party had willfully failed to provide discovery. *Id.* (citing, *inter alia*, *Kawasaki Kisen Kaisha, Ltd. v. Port Auth. of N.Y. and N.J.*, FMC Docket No. 11-12, 2014 WL

7328475, at *7-8, 2014 FMC LEXIS 35, at *17 (FMC Nov. 20, 2014)).

First turning to the FMC's jurisdiction, the ALJ stated that Mediterranean's claims on that issue had been resolved in the February 2022 MTD Order, which Mediterranean had not appealed, making its current claims untimely. Decision at 14-16. In any event, the ALJ determined that the FMC has jurisdiction over Shipping Act claims even if, as Mediterranean argued, a related proceeding is underway, such as an arbitration of a breach of contract claim required by a service contract. *Id.*; see *Anchor Shipping Co. v. Aliana Navegação E Logística Ltda.*, FMC Docket No. 02-04, 2006 WL 2007808, at *10-11, 30 S.R.R. 991, 998 (FMC May 10, 2006).

Next, the ALJ evaluated whether default should be entered and concluded that it should. Decision at 17-22. The ALJ emphasized Mediterranean's failures to comply with FMC discovery orders and its failure to show Hague Convention procedures were required. *Id.* at 17. For the default analysis, the ALJ focused on the three factors set out in *Webb v. District of Columbia*, 146 F.3d 964, 971 (D.C. Cir. 1998) — prejudice to the other party as a result of the conduct at issue, prejudice to the judicial system, and the need to deter similar conduct. *Id.* at 17-18. She noted that only one factor need be present to support a default, but she found that all three were present here. *Id.* at 18.

First, with regard to prejudice to MCS, the ALJ stressed that Mediterranean had failed to produce additional information as ordered in more than a dozen categories and that it had wrongly tried to limit the scope of discovery to less than what was required to evaluate MCS's claims. Decision at 18. The ALJ noted that the information wrongly withheld here would likely have led to additional discovery requests, and that this significantly hampered MCS's ability to proceed. *Id.* at 19. Finally, the ALJ found that Mediterranean's conduct had prejudiced MCS by delaying the proceeding, making it harder for MCS to obtain evidence and exacerbating its injury. *Id.*

Second, as to prejudice to the adjudicatory system, the ALJ emphasized that federal agencies must protect their integrity and the orderly conduct of business. Decision at 19 (citing *Interpool, Ltd. V. Pac. Westbound Conf.*, 22 F.M.C. 762, 764, 19 S.R.R. 1719 (FMC May 15, 1980), available at <https://www.fmc.gov/wp-content/uploads/2019/04/vol22.pdf> (upholding dismissal where complainant had failed to respond to discovery)). The ALJ listed case deadlines that had not been met because of Mediterranean's failure to provide the discovery ordered, noting that this had disrupted FMC business and burdened the docket, harming the public. *Id.* at 20.

Third, the ALJ evaluated the deterrence factor. Decision at 20-22. She again relied on *Interpool*, which noted that the most severe sanction had to be available to deter future misconduct. *Id.* at 21. The ALJ noted that Mediterranean had not specifically described the information it claimed was protected because it was located in Switzerland, and it was not clear whether its refusal to produce was actually based on its disagreement with the ALJ's substantive findings about the case. *Id.* The ALJ found that Mediterranean's refusal to follow the determination of the Swiss court or the orders of the ALJ, even after repeated warnings, supported a finding that its refusal was willful and deliberate. *Id.* The ALJ also found that the violations alleged in the case were significant, and that Mediterranean's conduct had to be addressed to deter similar future conduct. *Id.* at 21-22.

Finally, the ALJ considered the appropriate remedy. Decision at 22-23. She cited precedent authorizing the award of damages following default of "specified liquidated amounts requiring little or no calculations." *Id.* (citing *Go/Dan Indus., Inc. v. Eastern Mediterranean Shipping Corp.*, 1998 WL 940249, at *3, 1998 FMC LEXIS 5, at *5-6 (ALJ Dec. 10, 1998) (Adm. final Jan. 27, 1999)). The ALJ looked to MCS's complaint, as well as information it had submitted in its order to show cause brief as

permitted by 46 C.F.R. § 502.65(c), and awarded \$944,655 in reparations. *Id.* at 22.

II. DISCUSSION

A. Standard of Review

Normally, when the Commission reviews exceptions to an ALJ's Initial Decision, it has "all the powers which it would have in making the initial decision." 46 C.F.R. § 502.227(a)(6). The Commission therefore generally reviews the ALJ's findings de novo. *Id.*; see also *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, FMC Docket No. 12-02, 2015 WL 9426189, at *5, 2015 FMC LEXIS 43, at *10-11 (FMC Dec. 18, 2015). In particular, when reviewing an ALJ's Initial Decision on default after a respondent has failed to appear, the FMC has adopted the ALJ's findings of fact and law if "they are well-reasoned and supported by evidence in the record." *United Logistics (LAX) Inc. – Possible Violations of Sections 10(A)(1) and 10(B)(2)(A) of the Shipping Act of 1984*, FMC Docket No. 13-01, 2014 WL 5316339, at *1 (FMC Feb. 6, 2014).

However, the Commission reviews discovery orders, including orders imposing sanctions, under an abuse of discretion standard. See *Rana v. Franklin*, FMC Docket No. 19-03, 2022 WL 1744905, at *4 (FMC May 25, 2022); *Kawasaki*, 2014 WL 7328475, at *7-8. The FMC's rules do not expressly address the standard of review in this context. See *Rana*, 2022 WL 1744905, at *4; *Kawasaki*, 2014 WL 7328475, at *7-8. But "for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice." 46 C.F.R. § 502.12. "Federal Rule of Civil Procedure 37(b) is the corollary to the Commission's rule on discovery sanctions (46 C.F.R. § 502.150) for violating an order directing discovery responses." *Rana*, 2022 WL 1744905, at *4. "In reviewing district courts' orders on discovery, the United States Courts of Appeal apply an abuse of discretion standard because a 'narrowly circumscribed' scope of review is

consistent with district courts’ ‘considerable discretion in managing discovery’ and their ‘broad discretion to impose sanctions for discovery violations under Rule 37.’” *Id.* (quoting *Parsi v. Daiouleslam*, 778 F.3d 116, 125 (D.C. Cir. 2015) (additional citations omitted)); *see also Bonds v. District of Columbia*, 93 F.3d 801, 807 (D.C. Cir. 1996) (reviewing court should reverse discovery sanctions only if they are found to be “clearly unreasonable, arbitrary, or fanciful”).

The abuse of discretion standard is appropriate for review of the ALJ’s imposition of default as a discovery sanction. Indeed, the D.C. Circuit “review[s] the district court’s imposition of discovery sanctions, including a default judgment award, for abuse of discretion.” *Wash. Metro. Area Transit Comm’n v. Reliable Limousine Serv.*, 776 F.3d 1, 4 (D.C. Cir. 2015). Although there is no direct precedent for review of an FMC ALJ’s decision imposing *default* as a discovery sanction, the Commission has reviewed decisions *dismissing* actions for failure to comply with discovery orders, *see, e.g., Interpool*, 22 F.M.C. at 764, and in *Kawasaki*, it clarified that it would do so under an abuse of discretion standard, *see* 2014 WL 7328475, at *8. For its part, MCS advocates for that standard, although it argues that the ALJ’s Decision here meets the higher *de novo* standard as well. Response at 1-4. Of course, default may be considered a more severe sanction than dismissal, as it determines liability and will likely lead to remedies, rather than a mere preservation of the status quo. The D.C. Circuit has described its abuse of discretion review in the default context as “more ‘thorough’ because the ‘drastic’ sanction ‘deprives a party completely of its day in court.’” *Reliable Limousine*, 776 F.3d at 4 (quoting *Webb*, 146 F.3d at 971). Accordingly, the Commission has determined to review the ALJ’s Decision with reference to both abuse of discretion and *de novo* standards.

B. Imposing default as a discovery sanction was within the ALJ's discretion as to liability, and in any event the Decision on that point was well-reasoned and supported by the record

In the Initial Decision on Default, the overall analysis and conclusions as to liability were within the ALJ's discretion. In particular, she properly determined that MCS had sufficiently stated claims within the FMC's jurisdiction, and that default was an appropriate remedy for Mediterranean's failure to comply with discovery orders. In any case, those determinations were well-reasoned and well-supported.

1. Jurisdiction and Adequacy of Claims

The ALJ's ultimate conclusions as to jurisdiction and the adequacy of MCS's claims are affirmed. In her discussion of jurisdiction, Decision at 14-16, the ALJ first noted that the issue had already been decided in the February 2022 MTD Order denying Mediterranean's motion to dismiss, an order that Mediterranean did not appeal, *id.* at 15. And she stated that as a result, Mediterranean's current effort to relitigate that issue is "not timely." *Id.* at 16. It is true that an appeal of the MTD Order would have enabled an early resolution of the issue. That would have allowed the parties to avoid re-briefing the issue now, in the midst of the pending Exceptions briefing, and if Mediterranean were correct about the issue, enabled the parties and the agency to have avoided all future proceedings in the matter. However, the ALJ does not cite authority for the principle that Mediterranean's pursuit of the jurisdictional issue now is time-barred, and we are not aware of any. In particular, Mediterranean had no obligation under FMC rules to appeal that interim ruling immediately or else waive the issues raised. *See* 46 C.F.R. § 502.221 (interim rulings other than orders of dismissal may not be appealed unless the ALJ finds it necessary or on motion of party seeking to appeal). In addition, as Mediterranean points out, the issue of whether a federal court has jurisdiction can be raised at any time. Exceptions at 26. MCS emphasizes that Mediterranean is

trying to relitigate settled matters it failed to appeal, Response at 25, but it does not appear to specifically contend that the jurisdictional claims are untimely. It may be that the ALJ was simply indicating that the jurisdictional issue had already been resolved at the administrative level, and thus it was effectively “the law of the case” and not timely raised again at that level. *See Wye Oak Technology, Inc. v. Republic of Iraq*, 24 F.4th 686, 697-98 (D.C. Cir. 2022) (the law-of-the-case doctrine reflects the rule that courts should not re-open questions decided earlier in the case absent clear error or an intervening change of law). In any event, we conclude that Mediterranean is entitled to raise jurisdiction before the Commission now.

As to the substance of the jurisdictional question, the ALJ’s Decision is well-reasoned and is affirmed. The ALJ reiterated the conclusions from her earlier Order, explaining that FMC precedent makes clear that the agency has jurisdiction over Shipping Act claims even if a related proceeding is underway, such as an arbitration required by a service contract that is also at issue in claims before the FMC. Decision at 15-16; *see Anchor Shipping*, 2006 WL 2007808, at *10-11, 30 S.R.R. 991, 998; *Cargo One, Inc. v. Cosco Container Lines Co. Ltd*, FMC Docket No. 99-24, 2000 WL 1648961, at *14-15, 28 S.R.R. 1635, 1645, 2000 FMC LEXIS 14 (FMC Oct. 31, 2000). The ALJ emphasized that the FMC in fact has an obligation to address Shipping Act claims, even if the relevant facts may also give rise to other claims between the parties, and even if, as Mediterranean argues here, a service contract requires contract claims to be arbitrated. Decision at 15-16. Shipping Act claims are distinct from breach of contract claims, entailing a different analysis of statutory standards that includes review of the carrier’s broader practices beyond those directly affecting the complainant. In addition to the precedent the ALJ cites in her Decision, the Response by MCS cites further persuasive case support for these principles. *See* Response at 25-30. Mediterranean argues that the claims are barred by 46 U.S.C. § 40502(f), Exceptions at 27-31, but as MCS notes, Response at 28-29, that provision does not bar pursuit of the statutory allegations made here.

In fact, the provision simply says breach of service contract claims are resolved in court or as otherwise agreed by the parties. But this FMC matter is not a breach of contract action. Mediterranean also argues that MCS's claims are barred by the Federal Arbitration Act. Exceptions at 31-33. But again, that claim is contrary to the above precedent, including *Anchor Shipping*, as MCS notes, Response at 30. The ALJ correctly determined that the FMC has jurisdiction over this matter.

In addition, Mediterranean argues that MCS's complaint fails to state a claim as to the merits of any of its claims, Exceptions at 33-37, but that argument is unavailing. As an initial matter, as MCS notes, Response at 30, Mediterranean's basic arguments were already raised and rejected in February 2022, MTD Order at 3-10. But again, Mediterranean had no obligation under FMC rules to appeal that interim ruling. *See* 46 C.F.R. § 502.221. In addition, although the claims are beyond the scope of the briefing ordered by the ALJ's show cause order and the Decision understandably did not address them, the ALJ did address Mediterranean's basic arguments as to each of the five claims in considerable detail in the MTD Order. We conclude that Mediterranean is entitled to raise the claims here.

In any case, the ALJ's prior rejection of Mediterranean's failure-to-state-a-claim arguments was well-reasoned and consistent with the facial-plausibility standard under which such claims are analyzed under Federal Rule of Civil Procedure 12(b)(6). *See* MTD Order at 3-10. First, Mediterranean does not appear to specifically renew here its claims as to Counts I-II of the operative complaint, and so those claims have been waived. Mediterranean does make comparable arguments, that MCS's claims are inherently contractual ones that must be resolved by arbitration, as part of its current jurisdictional challenge. But those arguments are addressed above, and the ALJ persuasively rejected them in the failure-to-state-a-claim context in the MTD Order, *see id.* at 4-8. With regard to Counts III-IV, Mediterranean argues, as it did in moving to dismiss, that the activity MCS alleges does not state a discrimination claim under the relevant provisions of the Shipping Act, especially

as amended by the Ocean Shipping Reform Act of 1998. Exceptions at 33-35. But the ALJ's earlier rejection of those same arguments was well-reasoned, MTD Order at 8-9, and MCS's Response to the Exceptions also persuasively refutes those claims, Response at 30-33. Finally, Mediterranean argues that Count V does not state a refusal-to-deal claim, but again, the ALJ addressed that argument and rejected it in a well-reasoned discussion, which the Commission adopts. MTD Order at 9-10; *see also* Response at 33-34. Mediterranean's failure-to-state-a-claim arguments are rejected and the ALJ's conclusions affirmed.

2. The Initial Decision on Default

a. General considerations

The ALJ began the discussion of default by reviewing the applicable FMC rule, explaining that 46 C.F.R. § 502.150(b) authorizes procedural consequences for discovery violations, and that section 502.150(b)(3) specifically authorizes default. Decision at 14. The ALJ also noted that the Commission has upheld dismissals of cases where *complainants* willfully failed to comply with discovery orders. *Id.* (citing *Kawasaki*, 2014 FMC LEXIS 35, at *17, and *Interpool*, 22 F.M.C. 762 at 764). As stated above, no FMC case precedent has been cited in this case for the imposition of default against a *respondent* as a discovery sanction, and we are not aware of one.

The ALJ noted that defaults are disfavored and a last resort. Decision at 17. However, she explained, Mediterranean had multiple chances to conform to the discovery orders at issue here. *Id.* The ALJ pointed out that she had even agreed to make the request Mediterranean had sought to the Swiss court under Hague Convention procedures, yet when that request was rejected, Mediterranean had still failed to comply with the discovery orders, seeking further relief from the Swiss executive branch. *Id.* The ALJ summarized her earlier conclusions from the Second Order as to Mediterranean's Hague Convention claims, emphasizing that the

Convention does not deprive district courts of jurisdiction, and that Mediterranean had failed to show that a specific foreign law actually bars the production at issue here. *Id.* Without the outstanding discovery, the ALJ concluded, the case was at an impasse.

We also note that the issues raised here with regard to the alleged need to use Hague Convention procedures to obtain discovery in an FMC adjudication are broadly comparable to those raised in FMC No. 22-23. In that case, the Commission rejected the respondent's argument that it could not comply with an FMC discovery order because of a French statute. *See Marine Transport Logistics, Inc. v. CMA CGM, S.A.*, FMC Docket No. 22-23, 2023 WL 7328874 (FMC Oct. 30, 2023).

Finally, before turning to the specifics of the default analysis, we will consider MCS's threshold claim that Mediterranean has waived the right to make arguments that amount to objections to the First and Second Orders because it failed to appeal them in a timely way. Response at 4-5. This argument relies on interpreting those orders as being "directed to persons or documents located in a foreign country" under 46 C.F.R. § 502.150(d), and therefore as orders that became final shortly after they were issued because Mediterranean failed to appeal them. *Id.* It is not clear where the documents at issue are actually located, as discussed below in connection with the alleged obligation to consult with the Department of State under 46 U.S.C. § 41108(c)(2). It is true that the First and Second Orders were directed to a "person" — Mediterranean — that is located in a foreign nation. But it is not clear if the location of a corporate respondent answering discovery in a foreign nation is sufficient to bring a discovery order within the scope of section 502.150(d). It may well be that the section should apply only where a discovery target is genuinely unavailable because it is located overseas beyond the reach of the FMC, which is not the case here. In any case, if this MCS argument were accepted, it would preclude challenges to the ALJ's specific determinations as to the proper substance and scope of discovery, including her findings as to the extent discovery in this proceeding

is controlled by Swiss law and, as MCS suggests, whether the consultation process under section 41108(c)(2) is appropriate. Although we are not persuaded by MCS's argument, Mediterranean's repeated failures to either appeal or provide the discovery ordered do speak to its good faith, as discussed below. We conclude that it is appropriate to review Mediterranean's challenges to the discovery determinations, under an abuse of discretion standard. As explained below, those determinations survive that review.

b. Specific default standards

Under the analogous Federal Rule 37(b)(2), whether default is appropriate as a discovery sanction entails showing that three basic conditions are met: (1) a party has failed to obey an order to provide discovery; (2) any one of the three factors described in *Webb*, 146 F.3d 964, is present, namely prejudice to the other party, prejudice to the judicial system, or a need to deter future misconduct; and (3) lesser sanctions are inadequate to deter and punish the misconduct. *See SEC v. China Infrastructure Inv. Corp.*, 189 F.Supp.3d 118, 129–32 (D.D.C. 2016); Response at 6-7. Although the ALJ explicitly addressed only the second condition (the *Webb* factors), Decision at 17-22, her Decision adequately addresses the other factors in its overall discussion.

i. Mediterranean's failure to obey
discovery orders

As to the first condition, the Decision amply demonstrated that Mediterranean has failed to obey discovery orders. Specifically, it did not provide discovery as directed by the First Order of December 2021, the Second Order of July 2022, and arguably the Third Order of September 2022, insofar as that last Order explicitly offered Mediterranean the option to avoid default by simply providing the outstanding discovery. *See* Decision at 4-14, 17. In addition, these Orders warned Mediterranean multiple times about the risk of sanctions if it did not comply. *See* Response at 7-10. And

as MCS observes, *id.* at 7, Mediterranean does not actually seem to dispute that it has failed to provide the discovery ordered.

ii. The three *Webb* factors

The ALJ provided a detailed analysis of the *Webb* factors, concluding that although only one factor was needed, all three were present here. Decision at 17-22.

As to the *first Webb* factor, prejudice to MCS, the ALJ stressed that Mediterranean had failed to produce additional documents as ordered in more than a dozen categories, as laid out in the First Order in December 2021. Decision at 18-19. As a threshold matter, she noted that Mediterranean had failed to appeal the First Order, and so, she found, its arguments now are not timely. *Id.* at 18. Substantively, she noted that Mediterranean cannot limit the scope of discovery to preclude review of its practices beyond its interactions with MCS, because the FMC must review those broader practices to evaluate Shipping Act claims. *Id.* The ALJ also found that the written discovery compelled by her orders would likely have led to more discovery, such as depositions, so in the absence of the requested information, only default, not lesser sanctions, would fully address the prejudice to MCS. *Id.* at 19. Finally, the ALJ emphasized that Mediterranean's failure to provide the discovery ordered had "significantly delayed" the proceeding, causing additional prejudice to MCS since evidence becomes harder to develop as time passes, and she noted that the alleged injury may reasonably be found to increase to the extent violations were ongoing, as MCS alleged. *Id.*

The ALJ's analysis of the first *Webb* factor is generally correct. Although we are not persuaded that Mediterranean's failure to appeal the First Order actually precludes it from making arguments about the scope of discovery now, as discussed above in section II.B.2.a, the ALJ's findings in that First Order were well within her discretion, and her evaluation here of the prejudice caused to MCS is well-supported. Mediterranean argues that the

Decision failed to meet the standards needed to show prejudice by failing to make a sufficiently specific showing that the outstanding discovery was “essential” to resolving the claims at issue; it notes that Mediterranean has produced thousands of pages of documents on issues directly related to MCS and claims that the outstanding information related to other shippers is at best “tangential.” Exceptions at 41-44. It is true that the Decision’s section about the prejudice to MCS does not itself discuss specific types of information. Decision at 18-19. But the section does refer to the ALJ’s exhaustive review earlier in the Decision of more than a dozen specific categories of outstanding discovery that she had ordered produced but Mediterranean never provided. *Id.* at 18 (citing earlier discussion, *id.* at 4-13). In addition, as to the material related to other shippers, the ALJ made clear that the claims MCS has made under the Shipping Act, as well as Mediterranean’s defenses, require evaluation of practices beyond the carrier’s relations with MCS itself. *See, e.g., id.* at 6 (ordering production of information relevant to certain alleged conduct “occurring on a normal, customary, and continuous basis,” 46 C.F.R. § 545.4, and force majeure notifications by Mediterranean to other shippers). Finally, the production of *some* material in response to discovery requests, as Mediterranean notes it has done, obviously does not excuse the repeated failure to comply with orders to produce a great variety of other materials.

Mediterranean also argues that the ALJ’s analysis of prejudice to MCS was flawed because MCS is not actually harmed by the delay, Exceptions at 45, but that claim is incorrect. In particular, Mediterranean asserts that MCS has “consistently maintained” that the consultation procedure at 46 U.S.C. § 41108(c) is “mandatory” here. Even if MCS had taken that position in the past, however, it would not negate the ALJ’s independent current findings of prejudice, and as discussed below in section II.B.2.c, such a position as to section 41108(c) would be incorrect in any case. Mediterranean also claims that delay is not prejudicial because the violations alleged are not really “continuous and ongoing,” given that MCS is seeking reparations only for conduct occurring during

a period that has now ended. Exceptions at 45. That argument has some force, but the ALJ's analysis made clear that the violations at issue are indeed alleged to be "continuous and ongoing" within the meaning of the Shipping Act, even if MCS is not currently seeking reparations for recent or future violations. Decision at 19; *see also* Response at 10-12.

On balance, the Decision is adequately supported on the first *Webb* factor, and even if it were not, any error would be harmless as long as either of the other two *Webb* factors was present.

As to the *second Webb* factor, prejudice to the judicial system, the ALJ relied on *Interpool*, in which the FMC had found dismissal the only appropriate sanction where a complainant had willfully failed to respond to discovery. Decision at 19. The ALJ noted that in that case the Commission had emphasized that agencies must protect their integrity and the orderly conduct of business, in order to protect all parties before them. *Id.*; *Interpool*, 22 F.M.C. at 767-68. Turning to the current matter, the ALJ listed many 2022 case deadlines that had not been met because of Mediterranean's failure to provide the discovery ordered, including multiple discovery deadlines and an initial decision deadline of August 2022. Decision at 20. She explained that these delays had disrupted FMC business and burdened the FMC docket, requiring multiple revisions of the schedule as well as harming MCS, the Commission, and the public. *Id.*

This evaluation of the harm to the Commission's adjudicatory system is well-supported. The ALJ described in some detail the burden to the system caused by Mediterranean's continuing failure, since the First Order in December 2021, to provide *any* further discovery in the many categories of information at issue. Decision at 20. Mediterranean argues that it should not be punished for delay caused by the purportedly "mandatory" consultation procedures described in 46 U.S.C. § 41108(c)(2), Exceptions at 46, but of course, those procedures have not actually been used here. To the extent Mediterranean means the unsuccessful

request to the Swiss court under Hague Convention procedures, even if that were not deemed to be part of the delay for which Mediterranean is responsible, the docket shows that only about three months passed between the parties' April 2022 joint filing describing the request as an option and the filing of the July 2022 notice that the Swiss court had denied the request. In addition, as MCS observes, Mediterranean's failure to provide the discovery first ordered in December 2021 has played the dominant role in the case since then, accounting for many rounds of filings and the accompanying burdens to all concerned. Response at 12-14. That situation has also diverted FMC resources that might have been used for other matters. Finally, Mediterranean's repeated failures to either comply with or appeal the ALJ's discovery orders harm the FMC's adjudicatory system by undermining its authority.

As to the *third Webb* factor, the ALJ correctly emphasized that the most severe sanctions must be available not just to penalize wrongdoers, but also to deter bad conduct by those who might be tempted to engage in similar activity. Decision at 21; *Interpool*, 22 F.M.C. at 766. The ALJ stressed that Mediterranean has not provided any list of documents and witnesses it alleges are protected because they are located in Switzerland, but instead it has just broadly asserted that it has provided substantial discovery and only some items are still outstanding. Decision at 21. The ALJ therefore found that it was "not clear whether the refusal to provide discovery is in fact because information is located in Switzerland or whether MSC Mediterranean Shipping is refusing to provide the discovery because it disagrees with the findings related to the Commission's jurisdiction and scope of these proceedings." *Id.* The ALJ also found Mediterranean's misconduct to be willful and deliberate, citing its decision not to follow the finding of the Swiss court, but instead to seek further relief from the Swiss executive branch, as well as its refusal to comply with the ALJ's orders, even after repeated warnings that such conduct was sanctionable. *Id.* The ALJ reiterated that Mediterranean was an FMC-regulated entity that had to follow the FMC's direction and could not be allowed to hide evidence overseas; its repeated refusals to comply with the above decisions

were not consistent with good faith or respect for the process. *Id.* And the ALJ noted the national significance of the allegations about Mediterranean, one of the largest container lines, which was a respondent in other FMC proceedings. *Id.* at 22. The ALJ reasonably concluded that default was needed to deter similar conduct in the future. *Id.*

In addressing the third *Webb* factor, Mediterranean argues that it has been actively engaged in this case, producing substantial discovery to MCS, but that it cannot simply choose not to comply with foreign law, and so there is an insufficient basis to justify the most severe discovery sanction of default. Exceptions at 46-48. Mediterranean also points out that the Swiss court did not actually order it do anything. *Id.* at 47. That is correct, but as the ALJ emphasized, Decision at 21, the Swiss court did reject the Hague Convention request as inappropriate. Rather than accept that and provide the discovery the ALJ had ordered, Mediterranean appears to have gone around the court to the Swiss executive branch, looking for a different answer. Mediterranean does not seem to have sought further *judicial* review in Switzerland. In addition, as the ALJ and MCS emphasize, Mediterranean chose to neither appeal the ALJ's adverse discovery rulings nor provide the discovery ordered, a practice that calls into question its good faith. Decision at 18; Response at 19. Those rulings would appear to have been in effect the "law of the case," at least until Mediterranean obtained a different decision from the Commission itself. *See Wye Oak Technology*, 24 F.4th at 697-98 (courts should not re-open questions decided earlier in the case absent clear error or an intervening change of law). Most fundamentally, Mediterranean has failed to show that Swiss law bars it from providing any particular information or categories of documents, as it must under relevant precedent, or even to show what responsive material may actually be located in Switzerland, as the ALJ noted. Decision at 17, 21. Mediterranean has simply failed to provide discovery responses, despite repeated orders from the ALJ, since December 2021.

In this situation, the ALJ correctly identified a substantial risk, in the absence of a meaningful sanction, of encouraging obstructive tactics in other FMC matters. Decision at 22. Such tactics could involve vague allegations that foreign law controls the discovery sought in comparable future matters involving similar activities by foreign carriers. Indeed, the Commission recently rejected such claims in an appeal of a discovery order in another case. *See Marine Transport Logistics*, FMC Docket No. 22-23, 2023 WL 7328874. This case provides ample reason for ongoing concern regarding the potential use of such tactics. Permitting FMC-regulated entities to subject ordinary FMC discovery proceedings about U.S. shipping activities to foreign control, and the inevitable disputes about international procedure, simply because a party asserts that unspecified information exists overseas, poses a significant threat to the fair and timely resolution of cases before the Commission.

iii. The inadequacy of lesser sanctions

With regard to the third condition for the entry of default under Federal Rule 37(b)(2), the inadequacy of lesser sanctions, the ALJ did not identify this as a distinct, stand-alone factor, but she did sufficiently address it as part of her overall discussion. First, in outlining the prejudice to MCS under the first *Webb* factor, the ALJ stressed that the lack of the range of discovery ordered had significantly limited MCS's ability to make its case, including the ability to identify additional needed discovery. Decision at 19. Accordingly, she continued, "a lesser sanction such as directing that certain matters be taken as established, prohibiting certain claims or defenses, or striking pleadings would not be effective to remedy the failure to provide such broad discovery." *Id.* And MCS argues persuasively that given the magnitude of the discovery failures here, no lesser sanction would adequately address its situation. Response at 20-21. Much of the discussion above as to the third *Webb* factor is also relevant here, as failing to impose a meaningful sanction in the face of Mediterranean's conduct would not adequately deter such conduct going forward. Finally, the ALJ emphasized the

multiple warnings she had given Mediterranean that if it did not provide the discovery ordered, sanctions including default were possible. Decision at 20-21. The failure of those warnings to produce any effect also supports our conclusion that only default is an adequate sanction here.

c. The potential applicability of 46 U.S.C. § 41108(c)(2)

Mediterranean also makes a stand-alone argument that default is inappropriate because consultation with the U.S. Department of State under 46 U.S.C. § 41108(c)(2) is the proper way to resolve the discovery dispute at issue, Exceptions at 37-40, but that claim is unavailing. Section 41108(c)(2) states that such consultation shall occur where a carrier alleges that information “located in a foreign country cannot be produced because of the laws of that country.” This issue was also raised in the recent *Marine Transport Logistics* case. See 2023 WL 7328874, at *7.

As an initial matter, MCS argues that this claim by Mediterranean, like others that amount to challenges to the ALJ’s previous discovery orders, has been waived under 46 C.F.R. § 502.150(d), which states that ALJ orders “directed to persons or documents located in a foreign country” become final unless promptly appealed. Response at 4-5, 5 n.2. While that waiver claim did not persuade us as applied to the full scope of discovery orders to Mediterranean in this matter, as discussed above, it has more force to the extent Mediterranean’s refusal to produce the information at issue is specifically based on its own claim that it cannot produce the information because the information is in fact “located in a foreign country.” Thus, to the extent Mediterranean is accurately describing that situation, its claim would indeed appear to have been waived under section 502.150(d). The ALJ did not explicitly reach this issue in her Decision, although she did note that Mediterranean had argued section 41108(c)(2) applies in its opposition to the order to show cause. Decision at 4. It seems possible that she regarded the

argument as untimely or marginal in light of Mediterranean's overall record of non-compliance with her discovery orders.

In any case, Mediterranean has not shown that 46 U.S.C. § 41108(c)(2) bars the imposition of default here. Given the burdens that implementation of the provision would impose on both the U.S. and foreign governments, and the potential effects on FMC discovery, it is reasonable to interpret the statute to require a more specific and developed showing that the documents sought actually are located in a foreign country, not available in the United States, and cannot be produced because of foreign laws. *See Marine Transport Logistics*, 2023 WL 7328874, at *7. In this case, Mediterranean has not adequately shown that responsive materials actually are located exclusively in Switzerland. As the ALJ explained in her discussion of deterrence, “[i]t is not clear whether the refusal to provide discovery is in fact because information is located in Switzerland or whether MSC Mediterranean Shipping is refusing to provide the discovery because it disagrees with the findings related to the Commission’s jurisdiction and scope of these proceedings.” Decision at 21. Mediterranean emphasizes that MCS itself has at times described the section 41108(c)(2) procedure as mandatory in the current situation. Exceptions at 37-38. But even if true, that would not control the ALJ’s or the Commission’s independent determination as to whether the statute compels the use of that procedure here. Finally, although Mediterranean describes the section 41108(c)(2) procedure as “proper” in this case, Exceptions at 37, 40, it does not appear to be arguing that it is in fact required, only that Hague Convention procedures are. And if the section 41108(c)(2) procedure is not required, it provides no independent basis to support Mediterranean’s claim that default was improper.

In sum, the ALJ’s decision to enter a default here was within her discretion, and in any event was well-reasoned and well-supported by the record.

C. The matter is remanded for consideration of whether the delay sanction provision at 46 U.S.C. § 41302(d) is an additional basis to support default in this case

The Shipping Act provides an additional basis to impose default as a sanction where a party has delayed an adjudication, in 46 U.S.C. § 41302(d). Although neither the ALJ nor the parties appear to have discussed the potential application of section 41302(d) here, it is appropriate to remand this matter for consideration of whether that provision may be an alternative basis to support that sanction.

The provision at 46 U.S.C. § 41302(d) (Sanctions for Delay) states that if, within the period the Commission has set for issuing a final decision as required by section 41302(c), the Commission “determines that it is unable to issue a final decision because of undue delay caused by a party to the proceeding,” it may impose sanctions “including issuing a decision adverse to the delaying party.” This provision authorizes what would amount to a default sanction if the Commission determines that a party’s “undue” delay has caused the agency to be unable to issue a final decision within the period it has set to do so. Section 41302(c) specifically applies to final decision periods in proceedings initiated under “this section or section 41301,” and section 41301 is the “Complaints” section describing the initial procedure for adjudications. This makes it clear that section 41302(d), which specifically applies to final decision periods established under section 41302(c), also applies to adjudications like the current case.

In this case, the deadline for final decision has been extended twice, resulting in a delay of almost one full year. The Secretary’s initial Notice in August 2021 set a deadline for the final decision of February 17, 2023. FMC Docket No. 21-05, Doc. 2. The ALJ’s First Order, which Mediterranean neither appealed nor complied with, was issued in December 2021. The ALJ’s Second Order, which Mediterranean neither appealed nor complied with, was issued on

July 29, 2022. On that same day, the Secretary extended the final decision deadline to August 17, 2023. FMC Docket No. 21-05, Doc. 49. In September 2022, the ALJ issued the Third Order, which offered Mediterranean the option of simply producing the outstanding discovery in lieu of responding to the order to show cause. Mediterranean chose to resist the order, with several filings in late 2022. In January 2023, the ALJ issued the Initial Decision on Default, and Mediterranean filed Exceptions in February 2023. In August 2023, the Secretary again extended the final decision deadline, this time to February 16, 2024. FMC Docket No. 21-05, Doc. 67.

In this situation, imposing the sanction of default for the delay Mediterranean has caused may well be appropriate under 46 U.S.C. § 41302(d). Mediterranean's repeated failures to comply with discovery orders appear to have been the primary, if not the exclusive, cause of the two extensions which currently have set the final decision deadline back about a year, to February 2024. Obviously, the Commission cannot now issue a final decision by the initial deadline of February 2023, nor by the second deadline of August 2023. The Decision at issue here did not discuss the effect of Mediterranean's delay on the final decision deadline specifically. But the ALJ did discuss the effects of that delay at some length in explaining how it prejudiced the complainant (first *Webb* factor), noting that it "significantly delayed this proceeding." Decision at 19. And she returned to the subject in finding that Mediterranean's conduct had prejudiced the adjudication system (second *Webb* factor), describing the failure to meet a number of deadlines, which "caus[ed] multiple revisions of the schedule to accommodate the delays." *Id.* at 20. It may be that Mediterranean's failure to produce the discovery ordered was not the sole cause of the first extension of the final decision deadline in July 2022, since MCS and the ALJ did sign off on the initial effort to get documents from the Swiss court using a Hague Convention procedure in the preceding few months. But regardless, it seems likely that Mediterranean's failure to comply with the Second Order, also issued in July 2022, eliminated any chance of meeting the original February 2023 deadline for a

final decision, and Mediterranean's continued resistance to producing the discovery also made the August 2023 deadline impossible to meet.

At a minimum, 46 U.S.C. § 41302(d) merits careful consideration because it reflects clear Congressional concern that causing undue delay to FMC proceedings may well merit the most extreme sanction: a "decision adverse to the delaying party." That concern may support the imposition of the default at issue here even if that result is based primarily on the discovery sanctions described in 46 C.F.R. § 502.150(b).

In view of the above, this matter is remanded to the ALJ for consideration, with the benefit of focused and prompt briefing from the parties, of whether 46 U.S.C. § 41302(d) provides an additional basis to support the imposition of default here.

D. The matter is remanded for the submission of evidence sufficient to support the claimed reparations

The Decision awarded \$944,655 in reparations, plus interest, based on allegations in MCS's complaint and more specific figures included in its briefing on the order to show cause. Decision at 22-23. However, in view of the prevailing law in a context like the current one, we remand for the submission of evidence sufficient to support the reparations award.

In deciding to award the above reparations, the ALJ found that it was appropriate, based on the allegations in the complaint, to do so because they were "specified liquidated amounts requiring little or no calculations." Decision at 22 (quoting *Go/Dan Industries*, 1998 WL 940249, at *3). The ALJ also used additional information MCS submitted in its order to show cause brief, as permitted by 46 C.F.R. § 502.65(c). *Id.* The complaint alleged that, because of a shortfall in availability under MCS's 2021 and 2022 service contracts with Mediterranean, it had been forced to pay at least

\$400,000 more than it would have under each service contract, and its recent briefing provided specific amounts of \$480,719 and \$463,936, for a total of \$944,655 in reparations. *Id.*

Mediterranean argues that the reparations award was not adequately supported. Exceptions at 48-50. It primarily claims that it was improper to award reparations “without any proof,” that is, without any affidavits or documentary evidence to support the award. *Id.* at 48-49. Mediterranean asserts that because the damages here were not liquidated or otherwise sums certain, relevant FMC and federal court precedent requires an evidentiary showing even if liability is established by default. *Id.*

Mediterranean’s argument on this point is correct. In support of the requested reparations award, MCS simply stated in its brief that it “has calculated” the two yearly amounts above, without any explanation of how it arrived at them or any supporting evidence. Response to Order to Show Cause, Oct. 6, 2022, at 18-19. That is not adequate here. The damages appear to depend on unspecified charges for bookings MCS says it made on certain shipping routes in a certain time frame, and thus they do not appear to be appropriately considered liquidated or otherwise certain—as MCS itself seems to concede. Response to Initial Decision at 23. And where the damages claimed are of that less certain nature, the general rule for courts applying the analogous Federal Rule 55 is that even where a default judgment is to be entered, the plaintiff must provide evidence to justify a damages award. *See Bozzuto Contractors, Inc. v. Evans*, Civ. No. 19-3292, 2020 WL 7042766, at *3 (D.D.C. 2020) (where default judgment is sought, entitlement to damages must be proven “using detailed affidavits or documentary evidence on which the court may rely,” *quoting Boland v. Providence Constr. Corp.*, 304 F.R.D. 31, 36 (D.D.C. 2014)); *GAG Enters., Inc. v. Rayford*, 312 F.R.D. 230, 234 (D.D.C. 2015) (denying default judgment because plaintiff had failed to provide sufficient affidavits or documentary evidence justifying damages claimed, relying instead on a general affidavit from an attorney without personal knowledge and statements in the complaint that

simply listed dollar figures, without an explanation as to their calculation).

Authority cited by MCS and the ALJ do not sufficiently support a different result here. MCS faults Mediterranean's use of case law, Response at 22-23, but it provides no specific support for the proposition that damages can be awarded without evidence in a situation like this one. The two FMC cases the ALJ cites are also not sufficient to justify a departure from the general rule here. In *Go/Dan Industries*, 1998 WL 940249, at *3, the ALJ did award a total of a little less than \$8,000 to complainants based on damages for freight and other charges "itemized" in a schedule attached to the complaint, which the ALJ considered to be "liquidated amounts requiring little or no calculations." And *Shipco Transport Inc. v. Jem Logistics, Inc.*, FMC Docket No. 12-06, 2013 WL 9808695, at *1, 4, 2013 FMC LEXIS 34, *2 (FMC Aug. 21, 2013), involved an award of reparations of a little more than \$8,000 for what appears to have been reimbursement for one demurrage charge described in the complaint. But even if there is some FMC precedent for an award of reparations for the type of charges at issue here without extensive supporting evidence, it is necessary to require detailed evidence in this case, in light of the apparently greater complexity and vastly greater size of the reparations claimed, as well as the approach of federal courts applying comparable default principles.

Mediterranean also argues that it was improper to award damages for the 2020-21 shipping year because none of the outstanding discovery related to that year, Exceptions at 49, but that claim does not appear to be correct. Mediterranean cites no authority for the notion that reparations awarded following default as a discovery sanction must all relate directly to the particular discovery that led to the sanction. In any case, MCS explains that discovery relating to the year in question was in fact part of the discovery outstanding by the time of the Second Order in July 2022. Response at 23-25. It appears that reparations may be properly awarded for both shipping years sought.

Finally, Mediterranean claims that the reparations award was improper because the amounts MCS sought in response to the order to show cause were about 20% more than those in the amended complaint, Exceptions at 49-50, but that claim is unconvincing. The operative complaint here simply alleged that Mediterranean's misconduct had resulted in MCS paying "at least \$400,000" more for each of the two shipping years in question, plus unspecified "other injuries." Decision at 22-23; Amended Complaint at 24. Then, in providing more detail in response to the order to show cause, MCS listed amounts of \$480,719 and \$463,936 for the two years, amounts that are consistent with the earlier "at least" caveat. A reparations award would not be improper because of this relatively modest change.

In light of the above, this case is remanded to the ALJ for a "determination of the amount of reparations" under 46 C.F.R. § 502.65(c) based on affidavits or documentary evidence that provides adequate detail as to the damages MCS actually suffered for the violations alleged in its operative complaint. *See also* 46 C.F.R. §§ 502.251 (Proof on award of reparation); 502.252 (Reparation statements).

E. Mediterranean's request for oral argument is denied

Mediterranean requests oral argument pursuant to 46 C.F.R. § 502.241. Exceptions at 1. The request is denied under section 502.241(b).

III. CONCLUSION

The Commission hereby:

- (1) **DENIES** Respondent Mediterranean's February 6, 2023 Exceptions as to liability;
- (2) **AFFIRMS** the ALJ's January 13, 2023 Initial Decision on Default as to liability;
- (3) **REMANDS** for consideration of whether the delay sanction described at 46 U.S.C. § 41302(d) may support the imposition of default here; and
- (4) **REMANDS** for the submission of evidence sufficient to support the reparations Complainant MCS seeks.

By the Commission.

David Eng
Secretary